



TPS Eastern Africa Limited

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23rd August, 2016

The Chief Executive
Capital Markets Authority
Embankment Plaza, 3rd Floor
Longonot Road
P.O. Box 74800 00200
NAIROBI.

Dear Sir,

RE: TPS Eastern Africa Limited's 2016 Un-audited Half-Year Financial Results

The above subject matter refers.

Please find TPS Eastern Africa Limited's 2016 un-audited half-year financial results for the period ended 30th June, 2016 as approved by the Board of Directors at a meeting held on 23rd August, 2016.

Kindly acknowledge receipt by stamping a copy of this letter.

Yours faithfully,
TPS Eastern Africa Limited

Dominic Ng'ang'a
Company Secretary E.A

Cc. The Chief Executive, Nairobi Securities Exchange



TPS EASTERN AFRICA LIMITED

UNAUDITED CONSOLIDATED RESULTS FOR THE HALF-YEAR ENDED 30th JUNE 2016

The Board of Directors of TPS Eastern Africa Limited is pleased to announce the unaudited results and financial statements for the half-year ended 30th June 2016

CONSOLIDATED SUMMARISED INCOME STATEMENT

	Six months to 30-Jun-16 Shs'000	Six months to 30-Jun-15 Shs'000
Sales	2,656,219	2,671,950
Profit before interest, depreciation and taxation	170,411	182,432
Net interest cost	(54,781)	(108,005)
Depreciation on property, plant and equipment	(189,786)	(213,881)
Loss before income tax	(74,156)	(139,454)
Income tax credit	16,529	42,170
Loss after taxation	(57,627)	(97,284)
Attributable to:		
Equity holders of the Company	(77,593)	(112,010)
Non-controlling interest	19,966	14,726
	(57,627)	(97,284)
Earnings per share for (loss)/profit attributable to the equity holders of the Company		
- basic (Shs per share)	(0.43)	(0.61)
Weighted average number of shares (000s)	182,174	182,174

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

	Six months to 30-Jun-16 Shs'000	Six months to 30-Jun-15 Shs'000
Loss after taxation	(57,627)	(97,284)
Other comprehensive income: Items net of tax		
Currency translation differences	(56,461)	(358,713)
Total comprehensive loss	(114,088)	(455,997)
Attributable to:		
Equity holders of the Company	(134,054)	(470,723)
Non-controlling interest	19,966	14,726
	(114,088)	(455,997)

SUMMARISED CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	30-Jun-16 Shs'000	30-Jun-15 Shs'000
CAPITAL EMPLOYED		
Equity	9,571,263	9,956,492
Non-current liabilities	3,767,714	3,348,404
	13,338,977	13,304,896
REPRESENTED BY		
Non-current assets	13,504,439	13,385,753
Net current liabilities	(165,462)	(80,857)
	13,338,977	13,304,896

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share Capital Shs'000	Share premium Shs'000	Revaluation reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Translation Reserve Shs'000	Non controlling interest Shs'000	Total Shs'000
At 1 st January 2015	182,174	4,392,668	2,310,907	2,603,955	245,935	(331,072)	1,007,922	10,412,489
Comprehensive income for the period								
(Loss)/profit for the period	-	-	-	(112,010)	-	-	14,726	(97,284)
Other comprehensive income:								
Currency translation differences	-	-	-	-	-	(358,713)	-	(358,713)
Total other comprehensive income	-	-	-	-	-	(358,713)		(358,713)
Total comprehensive (loss)/ income for the period	-	-	-	(112,010)	-	(358,713)	14,726	(455,997)
Transaction with owners								
Dividends:								
- final for 2014	-	-	-	-	-	-	-	-
At 30th June 2015	182,174	4,392,668	2,310,907	2,491,945	245,935	(689,785)	1,022,648	9,956,492

	Share Capital Shs'000	Share premium Shs'000	Revaluation reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Translation Reserve Shs'000	Non controlling interest Shs'000	Total Shs'000
At 1 st January 2016	182,174	4,392,668	2,446,956	2,309,434	45,544	(813,367)	1,121,942	9,685,351
Comprehensive income for the period								
(Loss)/profit for the period	-	-	-	(77,593)	-	-	19,966	(57,627)
Other comprehensive income:								
Currency translation differences	-	-	-	-	-	(56,461)	-	(56,461)
Total other comprehensive income	-	-	-	-	-	(56,461)	-	(56,461)
Total comprehensive (loss)/ income for the period	-	-	-	(77,593)	-	(56,461)	19,966	(114,088)
Transaction with owners								
Dividends:								
- final for 2015	-	-	-	-	-	-	-	-
At 30th June 2016	182,174	4,392,668	2,446,956	2,231,841	45,544	(869,828)	1,141,908	9,571,263

SUMMARISED CONSOLIDATED STATEMENT OF CASH FLOWS

	Six months to 30-Jun-16 Shs'000	Six months to 30-Jun-15 Shs'000
Net cash generated from/(used in) operating activities	386,323	(240,441)
Net cash used in investing activities	(261,199)	(214,140)
Net cash (used in)/ from financing activities	(396,229)	218,772
Decrease in cash and cash equivalents	(271,105)	(235,809)
Movement in cash and cash equivalents		
At start of period	283,382	(88,587)
Effects of currency translation differences	370	6,123
Decrease increase in cash and cash equivalents	(271,105)	(235,809)
At end of period	12,647	(318,273)

Commentary

Activities in Kenya's domestic leisure market segments were at satisfactory levels during the period under review. The Company's diversified portfolio in East Africa recorded encouraging business levels in the corporate segment - a trend expected to continue for the rest of 2016.

The United States of America and European governments lifted travel restrictions to Kenya in 2015 citing improvement in the security situation. However, international leisure bookings for the Kenyan safari circuit recorded slow recovery during the first half of 2016. Nonetheless, the Kenyan Government paid serious attention to security issues and provided incentives in late 2015 and early 2016 for the revival of the tourism industry. Current indications for the Kenyan safari business segment look much healthier than the past two years, particularly for the Mara and the Laikipia regions from July 2016.

However, the Kenyan coastal region will continue to record low occupancies, although improvement is forecasted from November 2016. Destination Mombasa needs a strong, efficient and competitive air transport sector. The general lack of charters and international scheduled direct flights into Mombasa from source market countries is, unfortunately, making it difficult to market the destination. The downturn at the Kenyan coast continues to negatively impact the safari business in Tsavo, Amboseli and Mount Kenya regions.

Serena Tanzania and Serena Uganda are expected to record satisfactory performance on both the leisure and corporate market segments, respectively, during year 2016.

Given the seasonal nature of the tourism industry in East Africa, the results for the first half of 2016 are not a basis for forecasting a full year's results. The business outlook for the peak season (July to October 2016) and the rest of the year is expected to be positive.

Included in the results for the first half of 2016 are repairs and maintenance costs that were above 2015 levels. Management took advantage of the reduced business levels and carried out various overhauls on the northern circuit properties in Tanzania, covering bedrooms and public areas.

In the course of 2016, Serena Hotels commenced the refurbishment of Nairobi Serena Hotel and extension of the Kampala Serena Hotel in a phased manner to minimize disruption to guest services. The investments are necessary to enable the Company's two city hotels to increase their market share in the future, thus improving TPSEAL's consolidated profitability and shareholder returns in the medium to long-term.

The Board and Management remain confident that, notwithstanding the challenging business environment, the Company has the inherent strength and business resilience to continue to focus on its long-term growth prospects, thus maintaining its market share and its leading position in the industry.

In line with the Company's policy, the Board of Directors does not recommend the declaration of an interim dividend.

By Order of the Board

Dominic Ng'ang'a
COMPANY SECRETARY
23 August, 2016



SERENA HOTELS

SAFARI LODGES AND CAMPS

HOTELS • RESORTS